



World Bank President Ajay Banga says India's G20 presidency has enhanced the country's image globally

very country driven models. What we have globally are Centres of Excellence... because the bank is both a source of financing... [and] a source of knowledge. That knowledge bank has global practices with people based not only in DC, but in India and other countries.

Q: One of the reasons why Washington is showing greater urgency about arranging more funds for the World Bank is because China has been looking to make deep inroads...

A: No, that's not true... I think that's the conclusion drawn from geopolitics. When I got on board with the World Bank, and I met President Biden, he was very clear [about] the leverage ability of the bank's resources. So let me give you a very simple math: if you get \$1 of capital into the bank and everybody else also puts in money to keep their shareholding, that leads to \$6 or \$7—the US puts in \$1, you end up with \$6 or \$7 in total in capital, you lever that five times in the balance sheet at a AAA rating, and you end up with \$35 to lend in the world. You show me a government programme of any country where \$1 becomes \$35, and I'll give you a medal. So the President of the US basically said to me, 'this is a great programme... \$1 becomes \$35... I should back you every day of the week.' That's where he's coming from... So I think, yes, there is the geopolitics... But China is a large shareholder [of the World Bank]. And I have an excellent working relationship with them. So as far as I'm concerned, there's work to do together.

Q: You spoke of the N.K. Singh-Larry Summers report. One of the things that is being suggested to the World Bank is to try and lower the score from rating agencies... from AAA. Are you going to be okay with AA?

A: Absolutely not. And if you look at the final Larry Summers-N.K. Singh report, they stayed away from that topic... When you don't do AAA rating, your ability to do that leverage [\$6-7 becoming \$35 is lost]... The benefit is AAA rating. You get cheaper cost of funds, which allows you to then use that differential to reduce the cost of borrowing for countries around the world. **If our International Development Association and IBRD were not able to access AAA rating, we will be no cheaper than any commercial bank...** That's not going to be useful for development finance—you need blended finance, lower cost of money, longer tenors... You can't do that without AAA rating.

Q: One of the things the B20 spoke about was the need to generate \$4 trillion of funds to meet all Paris Agreement climate goals, achieve SDGs, and look at increasing the pool of finance available to meet some of these goals. How do you see that happening?

A: My view is that these trillions and many zeros that people keep tossing about, you can't be sure of the accuracy. What you are sure of is [that it's a] very large number. One little study, I will [share]... If countries